CITY OF OAKLAND MEASURE FF

FF Shall the measure amending Oakland's Real Property Transfer Tax Ordinance to eliminate the foreclosure exception for all property transfers except transfers converting commercial property to certain housing or healthcare uses, transfers to community banking organizations, and certain transfers of residential properties of four units or less, and allowing the City Council to establish, amend, or remove foreclosure-related exceptions, raising approximately $4-$13 million annually pursuant to tax rates in Oakland Municipal Code section 4.20.020, beginning January 1, 2027 until repealed, be adopted?	**YES** **NO**

CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE FF

Oakland's Real Property Transfer Tax (Oakland Municipal Code Chapter 4.20) imposes a tax on certain transfers of real property in the City of Oakland assessed as a percentage of the value of the transfer. Currently, the Real Property Transfer Tax generally exempts transfers made pursuant to foreclosure proceedings and transfers in lieu of foreclosure, meaning such transfers are not subject to the tax. This Measure would amend the City's Real Property Transfer Tax to eliminate the general exception for foreclosure-related transfers, and would only allow foreclosure-related exceptions for transfers converting commercial property to certain housing or healthcare uses, transfers to community banking organizations, and transfers of properties that consist of four residential units or less to a natural person or family trust. The Measure would also allow the City Council to, by ordinance, amend and/or remove those remaining foreclosure-related exceptions, and establish other foreclosure-related exceptions.

The Measure specifies that the property value for purposes of taxing foreclosure-related transfers would be the fair market value of the interest or property conveyed, not excluding the value of any lien or encumbrance remaining at the time of transfer, or the fair market value of the real property that experienced a change in control and ownership. Foreclosure-related transfers that did not qualify for an exception would be taxed at the rates that are already set in Oakland Municipal Code Section 4.20.020. Any additional revenue generated by this Measure would be general purpose funding that the City may use for any municipal purpose. This Measure would not impose a transfer tax on any entity or transfer if such taxation was otherwise prohibited by state or federal law.

This Measure was placed on the ballot by the City Council. This Measure will take effect on January 1, 2027, only if a majority (greater than 50%) of voters voting on the Measure vote "Yes."

s/RYAN RICHARDSON
City Attorney

CITY AUDITOR'S IMPARTIAL ANALYSIS OF MEASURE FF

Summary of Financial Impact

This ballot measure proposes amending Oakland Municipal Code (Chapter 4.20) by applying the Real Property Transfer Tax to property transfers due to foreclosures, with some exceptions.

Financial Analysis

If passed, the Office of the City Auditor estimates this ballot measure would generate between $10.4 and $13.8 million of revenue in the first year. Our estimated range is based on a sample of commercial foreclosures in calendar year 2024, 2025, and the first half of 2026. Actual annual revenues are subject to future market conditions.

We estimate the total costs to the City of implementing this ballot measure would range from $592,900 to $651,100 in the first year. This estimate includes current fully-benefited staffing costs and an annual administrative fee that Alameda County charges to collect tax revenue. Actual annual costs are subject to inflation.

To estimate staffing costs, the Finance Department anticipates it will need two full-time Tax Auditor II positions and a partial Revenue Operations Supervisor to support the initial implementation of the tax. Using the City's FY 2025-26 salary rates, these positions would cost $413,000 in fully-benefited salaries per year of initial implementation, subject to inflation. In addition, Alameda County charges the City 1.73 percent on all assessments and charges collected by the County for the City. Based on our revenue projections for this tax, we estimate this fee would range from $180,000 to $238,200.

This analysis is based on the best information available at this time.

s/MICHAEL C. HOUSTON
City Auditor

ARGUMENT IN FAVOR OF MEASURE FF

When families buy homes, they pay Oakland's real property transfer tax. But when hedge funds or investors acquire property through foreclosure or deed-in-lieu transfers they are exempt, avoiding a tax even for buildings worth tens of millions of dollars.

In just the first half of 2026, this loophole has cost Oakland up to $25 million. That's less for paving roads, responding faster to 911 calls, and stopping illegal dumping. Today's tax code subsidizes a "loan-to-own" strategy that sophisticated investors increasingly take advantage of. They buy real-estate debt at a discount then use that to acquire property tax-free. Oaklanders make up the difference through service cuts and other taxes.

Measure FF closes this loophole so foreclosure transfers are taxed fairly. It exempts homeowners in foreclosure. It also exempts regular homebuyers, giving them a leg up on speculators like BlackRock who have to pay. Fifteen states already tax foreclosure transfers, and Mayor Daniel Lurie is bringing a similar measure to San Francisco this election. Oakland can't let this money walk out the door.

Measure FF makes Oakland's budget more resilient without new parcel taxes. During economic downturns, city revenues fall just as demand for essential services rises. Measure FF diversifies city revenue by making loan-to-own transactions, which continue during economic downturns, pay their fair share.

The measure rewards investments Oakland needs most. Buyers who convert distressed properties into affordable housing, shelter, or healthcare facilities receive a full refund. In other words, put a vacant building back to productive use and qualify for relief; hold it for speculation, and pay the same tax as everyone else.

Homeowners, small businesses, and working families pay this tax. Institutions best able to pay, like BlackRock, have been exempt. This measure ends that.

Vote YES. Close the loophole. Improve city services.

s/CHARLENE WANG
District 2 Councilmember, Public Safety Chair

s/BARBARA LEE
Mayor

s/MIKE PETOHOUFF
Budget Advisory Commission Chair, Real Estate Professional

s/ROBERT APODACA
Co-Founder of Two Hundred for Homeownership and Casita Coalition, Housing Finance Expert

s/RAYMOND LANKFORD
Pastor, CEO, Oakland Private Industry Council

NO ARGUMENT AGAINST MEASURE FF WAS SUBMITTED

FULL TEXT OF MEASURE FF

THE CITY COUNCIL AND PEOPLE OF CITY OF OAKLAND DO ORDAIN AS FOLLOWS:

SECTION 1. Amendments to Oakland Municipal Code

Chapter 4.20, Section 4.20.050(F) of the Oakland Municipal Code is hereby amended as follows with deleted text shown as ~~strikethrough~~ and new text shown as underscored. Subsections of Chapter 4.20 not indicated below remain unchanged.

4.20.050 – Exceptions.

The tax imposed by Section 4.20.020 shall not apply to:

....

F. Transfers made pursuant to any order by the court in any note and deed of trust or lien foreclosure proceeding or upon execution of a judgment, or a transfer in lieu of foreclosure. but only if: ~~In cases of transfers in lieu of foreclosure or foreclosure by junior lien holders to protect their position with respect to that property, a transfer tax shall be set by the amount of any senior liens or notes and deeds of trust on that property that are paid or assumed by the junior note holder;~~

1. In the transfer of commercial property, the property will be converted to interim shelter, SRO (single room occupancy) housing, affordable housing, permanent supportive housing, or a healthcare facility. To be eligible, the tax imposed under Section 4.20.020 must be paid timely pursuant to Section 4.20.070. The transferee shall have thirty-six (36) months from the date of recordation to submit a refund application pursuant to Section 4.20.180, supported by a certificate of occupancy and documents certifying such use; or

2. The transferee is a community banking organization, as defined by the Federal Reserve, provided the institution has total consolidated assets of less than ten billion dollars ($10,000,000,000.00). The transferee must provide a sworn certification of its most recent Federal Deposit Insurance Corporation (FDIC) Call Report asset total to qualify for this exemption, or other information as requested by the City for verification; or

3. The transferee is a natural person or a family trust and the property consists of four (4) residential units or less, with information as requested by the City for verification; or

4. The City Council may, by ordinance, establish other exceptions, and/or amend or remove exceptions listed above to the tax imposed by this Chapter for foreclosure-related transfers by amendment of this subsection F.

Notwithstanding any other provision of this Chapter, for any transfer described in this subsection F that does not qualify for an exception, the value of consideration shall be deemed to be the fair market value of the interest or property conveyed, not excluding the value of any lien or encumbrances remaining thereon at the time of transfer, or the fair market value of all real property that experienced a change in control and ownership of legal entities, as defined in Section 4.20.030;

SECTION 2. General Tax and Effective Date

This Measure imposes a general tax for unrestricted general revenue purposes and shall be effective if approved by a simple majority of the voters voting thereon. Tax revenue collected pursuant to the Measure may be used by the City for any municipal governmental purpose. This Measure shall be considered adopted on the date the City Council declares the results of the election and shall go into effect on January 1, 2027.

SECTION 3. Savings Clause

Nothing in this Measure shall be construed as requiring the payment of any tax prohibited by the Constitution of the United States, the Constitution of the state of California, and/or federal or state law.

If any section, subsection, sentence, clause or phrase of this Measure is for any reason held to be invalid or unconstitutional by decision of any court of competent jurisdiction, such decision shall not affect the validity of the remaining portions of the Measure. The voters hereby declare that they would have passed this Measure and each section, subsection, clause or phrase thereof irrespective of the fact that one or more other sections, subsections, clauses or phrases may be declared invalid or unconstitutional.